



PAYROLL ACCOUNTING (125)

—Secondary—

NATIONAL – 2019

Multiple Choice & Matching:

Multiple Choice (20 @ 2 points each) _____ (40 points)

Short Answer (21 @ 2 points each) _____ (42 points)

Production:

Job 1: Payroll Entries (50 @ 1 point each) _____ (50 points)

Job 2: Employer's Tax Liability (12 @ 2 points each) _____ (24 points)

Job 3: Time Card (14 @ 2 points each) _____ (28 points)

TOTAL POINTS _____ ***(184 points)***

Graders: Please double check and verify all scores and answer keys!

Property of Business Professionals of America.
May be reproduced only for use in the Business Professionals of America
Workplace Skills Assessment Program competition.



Multiple Choice (20 @ 2 points each = 40 points)

1.	D
2.	A
3.	C
4.	C
5.	C
6.	A
7.	B
8.	C
9.	B
10.	B
11.	A
12.	A
13.	C
14.	C
15.	B
16.	C
17.	D
18.	C
19.	D
20.	A

Short Answer: (21 @ 2 points each = 42 points)

1. \$ 4,700.00
 \$ 291.40
 \$ 1,635.60
 \$ 126.90
 7.8%
 22.5%
 \$117,876.00



2. **\$ 2,119.00**

3. **\$15,444.00**

4. **\$ 1,541.19**

5.

Employee No.	August Salaries	Y-T-D Earnings through July 31	Social Security tax for August	Medicare tax for August
1	\$ 9,000	\$108,000	\$558.00	\$130.50
2	\$13,000	\$113,800	\$291.40	\$188.50
3	\$15,600	\$119,600	0	\$226.20

6. Weekly **\$1,198.85**

Hourly pay rate **\$29.97**

Overtime pay rate **\$44.96**

7. **\$421.05**

\$ 60.15



JOB 1: PAYROLL ENTRIES (50 @ 1 point each = 50 points)

NOTE TO GRADER: Accept variations in account titles because of various textbooks used by students. Award points for account title as long as the student has the word “payable” or “expense” if required. Each item in the journal counts as 1 point.

GENERAL JOURNAL				
DATE	DESCRIPTION	POST REF	DEBIT	CREDIT
2019				
May 30	Salary Expense		16,250.00	
	Federal Income Tax Payable			1,598.00
	State Income Tax Payable			812.00
	Social Security Tax Payable			1,007.00
	Medicare Tax Payable			236.00
	Health Insurance Payable			475.00
	Cash			12,122.00
30	Payroll Taxes Expense		2,250.50	
	Social Security Tax Payable			1,007.00
	Medicare Tax Payable			236.00
	FUTA Tax Payable			130.00
	SUTA Tax Payable			877.50
June 15	Federal Income Tax Payable		1,598.00	
	Social Security Tax Payable		2,014.00	
	Medicare Tax Payable		472.00	
	Cash			4,084.00
15	Health Insurance Payable		475.00	
	Cash			475.00
July 15	SUTA Tax Payable		1,410.00	
	Cash			1,410.00
15	FUTA Tax Payable		290.00	
	Cash			290.00



JOB 2: EMPLOYER'S TAX LIABILITY (12 @ 2 points each – 24 points)

EMPLOYEE #	PRIOR ACCUMULATED EARNINGS	EARNINGS FOR CURRENT PAY PERIOD	UNEMPLOYMENT TAX EARNINGS
1	\$7,550	\$975	\$ 0.0
2	5,493	823	823.00
3	6,290	933	710.00
4	4,979	588	588.00
5	\$6,885	\$735	115.00
	TOTALS	\$4,054	\$2,236.00

Social
Security Tax

Payable \$251.35

Medicare Tax Payable \$ 58.78

FUTA Payable \$ 17.89

SUTA Payable \$120.74

Total Payroll Taxes \$448.76

JOB 3— TIME CARD—(14 @ 2 points each = 28 points)

Using the following time card, calculate the regular, overtime, and total earnings for Romeo Hayfield. Romeo takes a one-hour unpaid lunch period each day he works more than 5 hours. The company rounds time to the nearest quarter hour.

TIME CARD			
Employee No. 12409		Week Ending April 30, 2019	
NAME: Romeo Hayfield		EXEMPTIONS: 3	
MARITAL STATUS: Married		HOURLY RATE: \$24.25	
DAY	IN	OUT	HOURS
Monday	8:01 AM	6:15 PM	9 ¼ or 9.25
Tuesday	7:58 AM	5:00 PM	8
Wednesday	7:59 AM	7:45 PM	10 ¾ or 10.75
Thursday	8:01 AM	7:30 PM	10 ½ or 10.5
Friday	8:00 AM	5:30 PM	8 ½ or 8.5
Saturday	8:58 AM	1:00 PM	4
	HOURS	RATE	EARNINGS
Regular	40	\$24.25	\$970.00
Overtime	11	\$36.38	400.18
Totals	51		\$1,370.18